

FLEX SUPREME

PRIMARY				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type ¹
740	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	80	65	
	3,000,000	75	N/A	
700	2,000,000	80	75	
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type ¹
700	2,000,000	80	75	SFR, PUD, Warrantable Condo
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property ¹
700	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
Housing & Credit Event Seasoning Requirements				
Credit Event Minimum Requirements BK/FC/SS/DIL/Mod	Borrowers with significant derogatory credit events must meet the following criteria: • Max DTI 43% • All borrowers must have reestablished acceptable credit verified after the credit event. • Borrowers with unrelated multiple significant credit events are ineligible. • Minimum 4 years must have elapsed from the date of the credit event. • FTHB - requires >= 7 years seasoning from the completion date of a significant derogatory credit event.			
Geographic Restrictions				
• HI: Delegated Correspondent Channel only • MD: ◦ Effective 1/29/2025 Primary and Second Home are temporarily ineligible in the State of Maryland. ◦ Baltimore City Row Homes are ineligible. • TX: Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible.				
General Requirements				
Product Type	• 30-Yr Fixed Fully Amortizing • 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing). • 5/6 & 7/6 SOFR ARMs - Fully Amortizing only, qualify at higher of fully indexed			
Interest Only	• Min 700 FICO and Max 75% LTV. FTHB ineligible.			
Loan Amounts	• Min \$100,000 and Max \$3,000,000			
Max DTI	• 50%. When DTI is > 43%>= 740 FICO is required.			
Occupancy	• Primary and Second Homes, Investment Properties.			
Loan Purpose	• Purchase, Rate/Term, and Cash Out			
2-1 Temporary Buydown – Purchase Only Option	• Not permitted.			

Cash Out	• Minimum of 6 (six) months seasoning from most recent transaction • <=70 LTV: Unlimited • >70 LTV: \$500,000 • Refinance of an existing Texas 50(a)(6), Texas Section 50(a)(4) and Texas Section 50(a)(3) are ineligible. • Not permitted in Declining Markets		
Rate and Term	• Max cash back is the lesser of \$5,000 or 2% of the loan amount.		
Borrower Eligibility	• US Citizens • Permanent Resident Aliens • Non-Permanent Resident (H1B & L1 Visas only) Max 75% LTV • Non-Occupant Co-Borrowers for OO only, Max 43% DTI, Cash out not permitted. • First Time Home Buyers (FTHB) – Restrictions apply		Ineligible: • ITINs • Foreign Nationals
Property Type ¹	Single Family (Attached/Detached) PUD	• SFR with 1 or more ADUs; or see 2-4 Units below.	
	2-4 Units	• Max 75% LTV • Not eligible for FTHBs • 2-4 units with 1 ADU allowed if permitted by the local municipality. The appraiser must specifically confirm compliance with local regulations.	
	Condos ¹	• Warrantable Condominiums¹: Max 75% LTV • Non-Warrantable Condos and Condotels are not permitted.	
	Acres	• Max 10 acres	
	Rural Properties	• Rural Properties Primary Residence only • Max 70% LTV • Cash-Out not permitted • See Guidelines	
	Leasehold	• Leasehold not permitted	
Appraisals	• FNMA Form 1004, 1025, 1073 with interior/exterior inspection. • 2nd Appraisal required for loans > \$2,000,000. • Appraisal Review Product required on all loans with an SSR over 2.5 except for those with a full second appraisal.		
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV. • Cash Out not permitted in Declining Markets.		
Full Doc - Income Requirements			
Wage Earners	• Paystubs, W-2, tax transcripts or IRS Form 4506-C • Verbal VOE required within 30 days of Note Date		
Self-Employment	• Self-Employed: 1-Year or 2-Years of Personal and Business Tax Returns, YTD P&L, IRS Form 4506-C, 2 months of most recent bank statements • Verbal VOE requires within 30 days of the Note Date		
Alt Doc - Income Requirements			
Stability and Continuance of Self-Employment	• Sellers must verify the borrower's self-employment for the most recent consecutive 2 full years in the same business.		
Personal Bank Statements	• 24 or 12-months of Personal and 2-months of business bank statements • Qualifying income is determined by the total eligible deposits from the 24 or 12-months of personal statements divided by the number of statements. • Business bank statements must reflect business activity and transfers to the personal account. • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history		

Business/Co-Mingled Bank Statements:	• 24 or 12-months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%); OR ○ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR ○ 3rd party prepared Profit & Loss Statement (CPA or EA). • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history.
Asset Utilization (Standalone only)	• May not be used as supplemental income. • Not permitted for Investment Properties. • Assets must be seasoned for three (3) months to be deemed eligible. • Monthly Income Calculation = ○ Net Qualified Assets / 84 Months. • <u>Restrictions:</u> ○ Cash-out transactions are ineligible. ○ Max LTV must be reduced by 10%. • <u>Ineligible Assets:</u> ○ Business assets. ○ Unseasoned Foreign Assets. ○ Proceeds from sale of real estate which is not seasoned for a minimum of three (3) months. ○ Privately traded or restricted / non-vested stocks. • Assets which produce income already included in the income calculation.
IRS Form 1099	• Borrowers receiving 1099 income are eligible provided that they are individuals paid via 1099 but are not business owners of the entity issuing the 1099; and meet the required 2 most recent consecutive full years of employment with the same employer(s). • 2-Years' 1099 • Fixed Expense Ratio of 10%. • YTD documentation to support continued receipt of income from each employer or NQMF VOE when 1099 is > 90 days from the Note date. • Not permitted for Investment Properties.
Underwriting Requirements	
Housing/Rental History	• 0x30x12 • FTHB 0x30x24
DTI Requirements	• Max 50% - When DTI is > 43% min 740 FICO required.
Credit Score	The qualifying score will be based on the highest income earner' score; qualify as follows: • The highest middle score of 3 scores will be used to qualify. • A minimum of 2 scores is required. • Borrowers with 2 credit scores: use the lower of the two scores to qualify.
Tradelines	• Tradeline requirements are not waived when the Primary has 3 credit scores. • Each borrower must have a minimum of 3 traditional tradelines rated for at least 12 months, OR 2 trades reporting for 24+ months, OR 24-month mortgage history reporting on credit. • Trades must reflect an acceptable payment history to be considered – no exceptions. • Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable (provided it was closed in the last 12 months). • Deferred accounts (w/o payment history) cannot be used to meet the min requirement. • Borrowers who do not meet the requirements above are ineligible.
First Time Home Buyers	• 1-Unit Primary Residence only • 0x30x24 rental history • Max DTI <= 43% • Interest Only not permitted. • At least 1 borrower must have a 24-month rental history. • Min 7-years seasoning for credit events. • When at least one borrower has owned a residential property in the prior 3 years, the FTHB requirements do not apply.

Reserves	• $\leq \\$500,000 = 3$ months PITIA • $> \\$500,000$ to $\\$1,500,000 = 6$ months PITIA • $> \\$1,500,000$ to $\\$2,500,000 = 9$ months PITIA • $> \\$2,500,000$ to $\\$3,000,000 = 12$ months PITIA • Cash-out proceeds may be used to satisfy reserves.
Gift Funds	• Permitted on 1-unit properties only, provided borrower meets the minimum contribution. ○ 5% primary ○ 10% second home and investment properties • Gift Funds may be used for down payment and closing cost, up to 100%, for OO and SH to 75% LTV. • Gift funds may only be used for down payment and closing costs for NOO after meeting the 10% minimum contribution regardless of LTV. • Gift funds are not permitted to be used towards reserves.
Assets	• 30-day asset verification required • Deposits $> 50\%$ of gross income must be documented for purchases.
Residual Income	• Defined as Gross Monthly Income – Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI $> 43\%$: • 1 person = \$1,500 • 2 persons = \$2,500 • Add \$150 per additional household member.
Age of Documentation	• Credit - 120 days. • Income and Assets - 90 days
Prepayment Penalty	• Required where permitted for investment properties. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. • Not permitted on primary residence or second homes.
Interested Party Contributions	Primary Residence and Second Homes: • $\leq 75\%$ LTV = 9% • $> 75\%$ = 6% Investment Properties: • All Max 6%

FLEX SELECT

PRIMARY				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type ¹
760	2,000,000	90	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and non- Warrantable), Co-ops and 2-4 Units <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	85	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	80	75	
	2,000,000	80	75	
	2,500,000	75	70	
	3,000,000	70	65	
660	1,000,000	80	75	
	1,500,000	75	70	
	2,500,000	70	65	
640	1,000,000	75	70	
	1,500,000	75	65	
	2,000,000	70	60	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type ¹
760	2,000,000	85	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and Non- Warrantable), Co-ops, Condotels <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	80	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	75	70	
	2,000,000	75	70	
	2,500,000	70	65	
	3,000,000	65	60	
660	1,000,000	75	70	
	1,500,000	70	65	
	2,500,000	65	60	
640	1,000,000	70	65	
	1,500,000	70	60	
	2,000,000	65	55	

INVESTMENT PROPERTY					
Min Credit Score	Max Loan Amount	Max LTV Purchase / Rate & Term	Max LTV Cash-Out Refinance	Property Type¹	
760	1,500,000	85	80	Single Family, PUD, Condominiums (Warrantable and non- Warrantable), Co-ops, Condotels and 2-4 Units See restrictions under General Requirements below	
	2,500,000	80	75		
	3,000,000	80	70		
	3,500,000	75	70		
740	2,000,000	80	80		
	2,500,000	80	75		
	3,000,000	80	70		
	3,500,000	75	70		
720	2,000,000	80	80		
	2,500,000	80	75		
	3,000,000	80	70		
	3,500,000	75	70		
700	1,500,000	80	80		
	2,000,000	80	75		
	2,500,000	80	70		
	3,500,000	75	70		
680	1,500,000	75	70		
	2,000,000	75	70		
	2,500,000	70	65		
	3,000,000	65	60		
660	1,000,000	75	70		
	1,500,000	70	65		
	2,500,000	65	60		
640	1,000,000	70	65		
	1,500,000	70	60		
	2,000,000	65	55		
Housing History and Housing Event Seasoning Restrictions Past due balloon: considered a delinquency (1x30) not a housing event, only within 180 days of maturity. Ch.13: use filing date if discharged; use dismissal date if dismissed.					
	1x30x12	2 x 30 x 12	0x60x12		0x90x12 O/O Only
BK/FC/SS/DIL/Mod:	>=48 Mo	>= 36 Mo	>= 24 Mo	>= 12 Mo	
Max LTV/CLTV:	90	80	70	65	
Max LTV Cash-out	80	75	70	NA	
Max Loan Amt:	3,500,000	3,000,000	2,000,000	2,000,000	
Geographic Restrictions					
• HI: Delegated Correspondent Channel only • MD: - MD: Effective 1/28/2025: Business Purpose loans are no longer restricted; Primary and Second Homes ONLY remain temporarily ineligible since 1/20/2025. - Baltimore City Row Homes are ineligible. • NY: STRs in the 5 NYC Boroughs are ineligible; No 5/6 ARMs on OO loans below the FNMA limit; Subprime - Fixed Rate only.					
General Requirements					
Product Type	• 40-Yr Fixed, 30-Yr Fixed, 15-Yr Fixed • 40-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing). • 5/6 SOFR ARM, 30-Yr Term – Fully Amortizing • 5/6 SOFR ARM I/O, 30-Yr Term and 40-Yr Term • Interest Only Products listed above: 10 year I/O period; must qualify off fully amortizing payment • ARMs not available in NY on OO loans below the FNMA loan limit; not available in MS				
Interest Only	• Min Credit Score: 680 • Max LTV: 80% • Max DTI 50%				
Loan Amounts	• Min: \$125,000 and Max 3,500,000 • Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV.				
Max DTI	• Max 50% DTI. Will consider up to 55% with restrictions (See Underwriting Requirements below).				
Occupancy	• Primary, Second Home; and Investment Property (Business Purpose)				
Loan Purpose	• Purchase, Rate/Term and Cash Out				
2-1 Temporary Buydown	• Effective 1/28/2025: Business Purpose loans in the State of Maryland are no longer restricted; Primary and Second Homes ONLY remain temporarily ineligible since 1/20/2025.				
	• Purchase Only • Minimum Score 680 • Max LTV 80% • Max DTI 50%	• 30 Year Fixed Only • Qualify using Note Rate • O/O, 2 nd Home and Investment Properties.	• Seller or Builder Funded Only • Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only.		

Cash Out	• Minimum of six (6) months seasoning from most recent transaction. See guidelines for details. • Max cash-out (defined as cash in hand): ○ If LTV <= 60% = Unlimited ○ If LTV > 60% = Max \$1,000,000 or unlimited with 18 months reserves exclusive of cash back. • Condos: Max 75% LTV		
Borrower Eligibility	• US Citizens • Permanent Resident Alien • Non-Permanent Resident Alien	Ineligible: • ITINs • Foreign Nationals	
Appraisals	• FNMA Form 1004, 1025, 1073 with interior/exterior inspection. • 2nd Appraisal required for loans > \$2,000,000. • Appraisal Review Product to be ordered on all loans with an SSR over 2.5, with the exception of those with a full second appraisal.		
Property Type ¹	Single Family, PUD or Townhouse LTV Limits	• SFR with 1 or more ADUs are permitted if subject property is in a municipality that allows. The Appraiser must specifically confirm compliance with local regulations. See 2-4 Units below.	
	Condos LTV Limits	• Condos – Warrantable / Non-Warrantable ○ Purchase & Rate/Term: Max 85% LTV ○ Cash-out: 75% LTV - Limited Review Established Condos Outside of Florida (Warrantable) LTV/CLTV Limits: ○ Primary 85%, SH 75%; and NOO 75% • Limited Review <u>Established Condos in Florida</u> (Warrantable) LTV/CLTV Limits: ○ Primary 75%/90%; SH 70%/75%; and NOO: 70%/75%	
	2-4 Units LTV Limits	• Max 80% LTV • 2-4 units with 1 ADU are permitted if subject property is in a municipality that allows. The Appraiser must specifically confirm compliance with local regulations.	
	Co-ops ¹	• Co-ops: Eligible for the Delegated-Correspondent Channel ONLY • Correspondent Clients must use its own Closing Plan Codes). ○ Available in New York City - 5 Boroughs ONLY: Bronx, Brooklyn, Manhattan, Queens & Staten Island. ○ Max 80% LTV.	
	Manufactured Housing ¹	• Manufactured Housing – Eligible for the Delegated-Correspondent Channel ONLY • Correspondent Clients must use its own Closing Plan Codes): ○ Min 20’ wide (Double-wide), min 750+ sq ft, must meet “HUD Code” including: be built on a perm chassis, installed on a perm foundation, and title as real estate (Refer to the Guidelines for additional requirements). ○ Eligible Transactions: Cash-Out not permitted, OO/SH only, min FICO 680, Max 80% LTV. ○ May not be older than 15 years old or if in need of repairs (as per the appraisal) of more than 5% of the property value. ○ NOO and Interest Only loans are not permitted.	
	Rural Properties:	○ As defined in the Guidelines, permitted for OO to 80% LTV; max 20 acres. ○ SH and NOO may be considered when the subject has <= 2 acres up to a max LTV of 75%.	
	Condotels	Effective 1/28/2025: Business Purpose loans in the State of Maryland are no longer restricted; Primary and Second Homes ONLY remain temporarily ineligible since 1/20/2025.	
		2nd Home & NOO Purchase or Rate/Term:	2nd Home & NOO Cash Out:
		• 700+ Max 75%LTV 680-699 Max 70% LTV	• 700+ Max 65% LTV 680-699 Max 60% LTV
• Must have a full kitchen & 1 separate bedroom. • Must be in a resort area or affiliated with a national hotel chain. • Max Loan Amount \$1,500,000			
Declining Markets	• As identified by the appraiser, require a 5% LTV reduction off the above matrix when > 65% LTV.		
Full Doc - Income Requirements			
Wage/Salary	• Paystubs, W-2 or e-VOE, tax transcripts or IRS Form 4506-C • Verbal VOE required within 10 days of Note		
Self-Employment	• 2 Years or 1 Year of Personal and Business Tax Returns, YTD P&L, IRS Form 4506-C, 2 months of most recent bank statements • Verbal VOE required within 30 days		
Alt Doc - Income Requirements			
VVOE/ Business Verification	• Verbal VOE required within 10 days of Note date for wage earners; 30 days for self-employed borrowers: • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history (see below for options with a minimum of one year self-employment)		
Personal Bank Statements	• 24 or 12-months of Personal and 2-months of business bank statements.		

	- Qualifying income is determined by the total eligible deposits from the 24 or 12-months of personal statements divided by the number of statements. - The business bank statements must reflect business activity and transfers to the personal account.	
Business/Co-Mingled Bank Statements:	24 or 12-months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: - Fixed Expense Ratio (50%); OR - Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR 3rd party prepared Profit & Loss Statement (CPA or EA).	
P&L and 2 Months Bank Statements	24 or 12-month P&L, prepared by CPA or EA or PTIN licensed Tax Preparer. - Minimum of 2-months business bank statements - Max 80% LTV	
P&L Only	- Max Loan Amount \$1,500,000 700+ Score: Max LTV is the lesser of the LTV on the Matrix or 80% OO; 75% SH & NOO. 680-699 Scores: Max LTV is the lesser LTV on the Matrix or 75% OO; 70% SH & NOO. 24- or 12-month P&L; prepared by CPA/EA or Tax Preparer. CPA/EA/Tax Preparer must also attest to having prepared the borrower’s most recent tax returns. Verbal verification of P&L is required prior to closing. - Not permitted with Express (DU) or for licensed professionals with a business in existence for one year.	
IRS Form 1099	2-Years or 1-Year 1099 - Fixed Expense Ratio of 10%	YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date.
Tip Income	Sample target borrower: restaurant server, bartender, cabdriver, etc. - Must have a history of receipt of at least one full year without gaps in employment. - WVOE with 2+ Months Bank Statements with 680 score to 80% LTV - May not be employed by a family members or related individuals.	
WVOE	- WVOE – FNMA 1005 completed with the past 2 years of income/employment. Form must be completed by Human Resources, Payroll, or an Officer of the Company. - Two (2) most recent months of bank statements supporting at least 65% of the gross wages reflected in the WVOE. - Verification of delivery and receipt of the FNMA Form 1005 required (see guidelines for requirements). - One-year history with the same employer with a minimum of two (2) years in the same line of work. - One-year 0x30 housing history is required; borrowers without a housing history are not permitted. - Borrowers may not be employed by family members or related individuals. - W2s, Tax Returns, Paystubs, 4506-C are not required. - Borrowers can have no other active source of income; passive income such as rental income may be included. - Minimum credit score 680; OO Max 80% LTV; SH and NOO Max 75% LTV. - Maximum loan amount \$1,500,000	
Asset Utilization	- Eligible assets divided by 60 to determine a monthly income stream; or if <=60% DTI without using assets for income, divide eligible assets by 36 months to determine qualifying income (sourced and seasoned for 3-months). - Purchase/Rate & Term: <= 85% LTV – follow LTV limits per the matrix > 85%LTV – permitted per the matrix provided the DTI is <=60% without using assets for income. - Cash Out: follow LTV limits per the matrix.	
Less than 2 years Self-Employment options	OPTION 1: S/E 18+ months with 3+yrs prior experience in the same line of business. OPTION 2: Licensed Professional (medical, legal, accounting, etc.) with 12+ months business existence provided 3+yrs prior experience in the same line of work or evidence of formal education in related field. For both Option 1 and Option 2, the following requirements apply: - Minimum Score: 700 ; Max LTV: 80% OO / 75% 2nd Home / 70% NOO - Not available for P&L only documentation type - Not available for Flex Select Express (DU)	
Underwriting Requirements		
DTI Requirements	- Max 50% 40 Yr Fixed Must Qualify as a 30-Yr at <= 55% DTI. 55% DTI (>50% to 55%) with the following restrictions: - Min FICO 680 - Max 80% LTV 0x30x12 - Interest-Only is not permitted - Max loan amount \$2.5M 40-yr term not permitted. 48 months since a housing event 2-1 Temporary Buydowns are not permitted. - Minimum monthly residual income of \$3,500 is required.	
Credit Score	- Middle of 3 scores or lower of 2 for Primary Income Earner. - Additional borrowers must have a minimum score of 540.	
Tradelines	- Primary wage earner has 3 scores: or 2 open and reporting 24 months; or 3 open and reporting 12 months; or 24-months mortgage rating reporting on credit	
FTHB	Permitted to a maximum loan size of \$1.5M on O/O, SH and NOO.	

Reserves	• <= \$500,000 = 3 months PITIA w/LTV <= 80% • <= \$500,000 = 6 months PITIA w/LTV > 80% • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,500,000 = 12 months PITIA • Cash-out proceeds may be used to satisfy reserves.
Gift Funds	Gift funds permitted provided borrower meets minimum contribution: • 5% primary • 10% second home and investment properties • Gift Funds may be used for down payment and closing cost, up to 100%, for OO and SH to 80% LTV. • Gift funds may only be used for down payment and closing costs for NOO after meeting the minimum 10% contribution regardless of LTV. • Gift funds are not permitted to be used towards reserves.
Assets	• 30-day asset verification required • Deposits > 50% of gross income must be documented on purchases
Residual OO and 2 nd Homes only	• Defined as Gross Monthly Income – Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI > 43% on OO and 2nd homes only: • 1 person = \$1,500 • 2 persons = \$2,500 • Add \$150 per additional household member
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days
Prepayment Penalty	• Required on Investment Properties when permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. • No PPP – Correspondent Only
Interested Party Contributions	• Primary and 2nd Homes: ○ <= 75% LTV = 9% ○ > 75% = 6% • Investment: ALL = 6%
Express (DU) Full/Alt Doc Follow standard guidelines where silent in this section.	
Underwriting Method	• DU Approve Eligible and Approve/Ineligible • Ineligibility only due to loan size or feature, such as I/O.
Income	• Max DTI: 50% • Follow program documentation requirements. • Follow program DTI restrictions. • Transcripts required for the number of years of income used to qualify on Full Doc loans. • P&L Only; and One Year Self Employment option for licensed professionals are not eligible for DU.
Credit	• Follow AUS with the exception of housing history must be 0x30x12 and no extenuating circumstances for BK/Housing event
Non-Occupant Co-Borrower	• Ratios for the Occupying Borrower and Non-Occupant Co-Borrower may be blended. • Max Loan Amount \$1.0M.
LTV/Score Eligibility	• 740-759 scores > 85% LTV not eligible; follow standard program requirements
Reserves	• LTVs > 85% (See LTV/Score Eligibility section above): ○ Up to \$1.5M with 760+ Score = 6 months PITIA • LTV <= 85%: ○ Loans <= \$2,000,000 follow DU Findings ○ Loans > \$2,000,000 must meet product reserve requirements.
Appraisal	• Reduced Condo Reviews are not permitted. Appraisal waivers are not permitted.

SELECT ITIN

PRIMARY							
Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/Term		Max LTV/CLTV Cash-Out Refinance		Property Type¹	
		Full Doc²	Alt Doc	Full Doc	Alt Doc		
740	1,500,000	85*	80	80	80	1-Unit SFR/PUD, Condo (Warrantable and Non-Warrantable)	
	2,000,000	80	80	80	80		
	2,500,000	75	75	75	70		
720	1,500,000	85*	80	80	80		
	2,000,000	80	80	80	75		
	2,500,000	60	60	75	60		
700	1,500,000	85*	80	80	80		
	2,000,000	70	70	75	70		
660	1,500,000	80	80	75	75		
640	1,500,000	75	75	75	70		
720	1,500,000	80	80	75	75	2-4 Units	
	2,000,000	75	75	60	60		
700	1,500,000	80	80	70	70		
	2,000,000	70	70	60	60		
680	1,500,000	75	75	70	70		
● Max 85% LTV: Full Doc & Purchase Only of 1-Unit SFR/PUD/TH (Condo: Ineligible). Alt Doc Purchase and R/T: Max 80% LTV.							
SECOND HOME							
Credit Score	Max Loan Amount	Max LTV/CLTV Purchase / Rate & Term		Max LTV/CLTV Cash-Out Refinance		Property Type¹	
720	1,500,000	75		70		1-Unit SFR/PUD, Condo (Warrantable and Non-Warrantable)	
	2,000,000	75		60			
700	1,500,000	75		70			
	2,000,000	70		60			
660	1,500,000	70		65			
INVESTMENT PROPERTY							
Credit Score	Max Loan Amount	Max LTV/CLTV Purchase / Rate & Term		Max LTV/CLTV Cash-Out Refinance		Property Type¹	
700	1,500,000	75		70		1-4 Units, PUD, Condo (Warrantable and Non-Warrantable)	
	2,000,000	75		70			
	2,500,000	70		65			
680	1,500,000	70		65			
	2,000,000	70		65			
	2,500,000	65		60			
660	1,500,000	70		65			
	2,000,000	60		N/A			
Housing/Rental History							
● 0x30x12 plus VOR/VOM is required.							
● 48 months seasoning for housing and credit event.							
● Borrowers who own their primary residence free and clear are considered to have an acceptable housing history.							
Geographic Restrictions							
● IL counties: Cook, Kane, Peoria and Will: Not permitted for OO and SH – Does not apply to Correspondents.							
● HI: Delegated Correspondent Channel only							
● MD:							
○ Effective 1/28/2025: Business Purpose loans are no longer restricted; Primary and Second Homes ONLY remain temporarily ineligible.							
○ Baltimore City Row Homes are ineligible.							
● NY: STRs in the 5 NYC Boroughs are ineligible; No 5/6 ARMs on OO loans below the FNMA limit; Subprime - Fixed Rate only.							
General Requirements							
Product Type	● 15-Yr Fixed, 30-Yr Fixed, Fully Amortizing ● 30-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) ● 5/6 SOFR ARM 30-Year Term – Fully Amortizing ● 5/6 SOFR ARM I/O - 30-Yr Term ● Interest Only Products listed above: Qualify off fully amortizing payment. ● ARMs not available in NY on OO loans below the FNMA loan limit; not available in MS						
Interest Only	● Min Credit Score: 680	● Max LTV: 80%			● Max 50% DTI		
Loan Amount	● Min: \$125,000 and Max \$2,500,000 ● Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV						
DTI Requirements	● Max 50%						
Occupancy	● Primary, Second Home; and Investment Property (Business Purpose)						

Loan Purpose	• Purchase, Rate/Term, and Cash Out		
Cash Out	• Minimum of six (6) months seasoning from most recent transaction. See guide for details. • Max cash-out (defined as cash in hand): ○ If LTV <= 60% = Unlimited ○ If LTV > 60% = Max \$1,000,000 (Not eligible with DU opt for unlimited cash-out with 18 months additional reserves) • Condos – Max 75% LTV		
2-1 Temporary Buydown	• Effective 1/28/2025, Business Purpose loans in the State of Maryland are no longer restricted; Primary and Second Homes only remain ineligible.		
	• Purchase Only • Minimum Score 680 • Max LTV 80% • 30 Year Fixed Only Qualify off Note Rate	• O/O, 2 nd Home and Investment Properties. • See Guides for Max Interested Party Contribution Limits.	• Seller or Builder Funded Only • Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only.
Appraisals	• FNMA Form 1004, 1025, 1073 with interior/exterior inspection. • 2 nd Appraisal required for loans > \$2,000,000. • Appraisal Review Product to be ordered on all loans with an SSR over 2.5, with the exception of those with a full second appraisal.		
Property Type	Single Family, PUD or Townhouse (1-Unit) LTV Limits	• 1-Unit SFR/PUD or Townhouse (Attached/Detached): ○ Purchase: Max 85% LTV for Primary only ○ Rate/Term: Max 80% LTV • SFR with 1 or more ADUs are permitted if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations. See 2-4 Units below.	
	Condos ¹ LTV Limits	• Condos – Non-Warrantable: Max LTV is the lesser of the Matrix LTV or 75% LTV ○ Purchase and R/T: ▪ OO = Max LTV/CLTV 75%/80% ▪ SH/NOO = Max LTV 70%/75% • Condos – Warrantable ¹ : Outside of Florida, Max 80% LTV • Florida Limited Review Condos ¹ : Max 75% LTV	
	2-4 Units LTV Limits	• 2-4 Units: Max 80% LTV • 2-4 units with 1 ADU are permitted if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations.	
	Rural Properties	• Rural properties (as defined in the Guides) permitted for Owners Occupied up to 80% LTV; max 20 acres. • Second Home; and Investment Properties (non-DSCR) may be considered when the subject has <= 2 acres up to a max LTV of 75%.	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when > 65% LTV.		
Full Doc Income Requirements			
Wage/Salary	• 1-2-yr's WVOE, tax transcripts or 4506-C • VVOE within 10 days from Note date. • Not eligible for Express (DU)		
Self-Employment	• 1-2-yr's 1040s plus transcripts, YTD P&L, plus 2-mos bank statements good through the P&L period end date, K-1s and Schedule E for business entities prior 1-2 yrs is >=25% ownership; and • Business Verification required within 30 days from the Note date.		
Alt Doc Income Requirements			
VVOE/ Business Verification	• Verbal VOE required within 10 days of Note Date for wage earners; 30 days for self-employed borrowers. • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history (see below for options with a minimum of one year self-employment)		
12 or 24 Months Personal Bank Statements	• 24 or 12-months of Personal and 2-months of business bank statements. • Qualifying income is determined by the total eligible deposits from the 24 or 12-months of personal statements divided by the number of statements. The business bank statements must reflect business activity and transfers to the personal account.		
12 or 24 Months Business Bank Statements	• 24 or 12-months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%); OR ○ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR ○ 3rd party prepared Profit & Loss Statement (CPA or EA).		
12- or 24 Months IRS Form 1099	• 2-Years or 1-Year 1099 • Fixed Expense Ratio of 10% YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date.		
Asset Utilization	• Supplemental or standalone (60 months). May combined with Full Doc Income as primary source of income. • Eligible assets divided by 60 to determine a monthly income stream (sourced and seasoned for 3-months). ○ Purchase/Rate & Term: <= 85% LTV follow LTV limits per the matrix. ○ Cash Out: follow LTV limits per the matrix.		
Less than 2 years Self-Employment options	• <u>OPTION 1</u> : S/E 18+ months with 3+yr's prior experience in the same line of business. • <u>OPTION 2</u> : Licensed Professional (medical, legal, accounting, etc.) with 12+ months business existence provided 3+yr's prior experience in the same line of work or evidence of formal education in related field. For both Option 1 and Option 2, the following requirements apply: • Minimum Score: 700; Max LTV: 80% OO / 75% 2 nd Home / 70% NOO		

Ineligible Income Types	Express (DU), P&L w/2 months Bank Statements, Tip Income, WVOE w/2 months Bank Statements, and P&L Only.
Underwriting Requirements	
Credit Score	• A minimum of 2 credit scores is required. • 1 score is permitted when the credit report has sufficient tradeline activity, defined as follows: ○ 3 trades reporting for 12+ months, OR ○ 2 trades reporting for 24+ months, OR ○ 2-year mortgage history. • Middle of 3 or lower of 2 scores for the primary wage earner is considered the qualifying score. When only one score is present, that score is considered the qualifying score. • Additional borrowers must have a minimum score of 540.
Tradelines	• Tradelines requirements are waived with three (3) scores. • Spouses may combine trades. • If no full housing history and has 3 scores, OR when only 2 scores are available see the Credit Score section above for required tradeline activity. • If the borrower is unable to meet the above tradeline requirements, they may qualify using Non-Traditional Trades in the Guidelines.
FTHB	• Permitted to a maximum loan size of \$1.5M on O/O, 2nd Home, and NOO.
Reserves	• <= \$500,000 = 3 months PITIA w/LTV <= 80% • <= \$500,000 = 6 months PITIA w/LTV > 80% • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,500,000 = 12 months PITIA • Cash-out proceeds may be used to satisfy reserves. • When Asset Utilization is the sole source of income, reserves are not required.
Gift Funds	Gift funds permitted provided borrower meets minimum contribution: • 5% primary • 10% second home • Not permitted on NOO with Select ITIN. • 100% of down payment and closing costs may come from gifted funds for OO and SH to a maximum of 75%. • Gift funds not permitted to be used towards reserves.
Assets	• 30-day asset verification required • Deposits > 50% of gross income must be documented on purchases
Residual OO and 2 nd Homes only	• Defined as Gross Monthly Income – Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI > 43% on OO and 2nd homes only: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 ○ Add \$150 per additional household member
Escrow Waiver	• Not permitted.
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days
Prepayment Penalty	• Required on Investment Properties when permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. • No PPP – Correspondent Only
Interested Party Contributions	Primary and 2nd Homes: ○ <= 75% LTV = 9% ○ > 75% = 6% Investment: ○ ALL = 6%

SUPER JUMBO

PRIMARY					
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase	Max LTV/CLTV Rate & Term	Mx LTV/CLTV Cash-Out	Property
740	\$3,500,001 - \$4,000,000	70	70	60	SFR, PUD, Warrantable & Non-Warrantable Condo
720		65	65	55	
740	\$4,000,001 - \$4,500,000	65	65	55	
720		60	60	50	
740	\$4,500,001 - \$5,000,000	65	65	55	
720		60	60	50	
Housing History			Credit Event Seasoning		
0x30x24			48 months		
Geographic Restrictions					
• HI: Delegated Correspondent Channel only. • IL counties: Cook, Kane, Peoria, and Will: Not permitted for OO - Does not apply to Correspondents. • MD: ◦ Effective 1/29/2025 new rate locks are temporarily ineligible in the State of Maryland. ◦ Baltimore City Row Homes are ineligible.					
Program Description					
Program Description	• The Super Jumbo Program is a specialty product for high-net-worth borrowers with solid and stable income and credit, as well as considerable assets to cover down payment, closing costs and reserves.				
Underwriting	• Manual Underwriting only; Express (DU) is not permitted.				
General Requirements					
Product Type	• 30 Year Fixed Fully Amortizing	• 40 Year Fixed IO (10 year I/O period, and remaining term fully amortizing)			
Interest Only	• Allowed per matrix LTVs above for Purchase, R/T and Cash-Out				
Loan Amounts	• Min \$3,500,001 – Max \$5,000,000				
DTI Requirements	• Max 38%				
Occupancy	• Primary				
Loan Purpose	• Purchase, Rate/Term and Cash-Out				
2-1 Temporary Buydown – Purchase Only Option	• Not permitted.				
Cash-Out	• Max cash-out (defined as cash in hand): \$1,500,000. • Cash-Out proceeds may not be used to meet reserves				
Borrower Eligibility	• U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Aliens		• First Time Home Buyers are not permitted. • Non-Occupant Co-Borrowers are not permitted. • ITIN borrowers are not permitted.		
Appraisal Requirements	• Two (2) Full Appraisals (interior/exterior) • FNMA Form 1004, 1073 with interior/exterior inspection				
Property Types	• SFR/PUD 1-Unit • SFR, with more than one Accessory Dwelling Unit is not permitted. • Condo (Warrantable/Non-Warrantable) • Max 2 acres • No farms/rural properties				
Declining Markets	• Purchase and R/T: the lesser of matrix LTV or max 65% • Cash-Out: the lesser of matrix LTV or max 55%				
Full Doc – Income Requirements					
Wage Earner	• W-2, tax transcripts or IRS Form 4506-C • Verbal VOE is required within 10 days of Note Date				
Self-Employment	• Self-Employed: 2 Years or 1 Year of Personal and Business Tax Returns, YTD P&L, IRS Form 4506-C, 2 months of most recent bank statements. • S/E Borrower must have a minimum of 2 full years in the current business. • Verbal VOE is required within 30 days • Evidence within 30 days of the Note date that the business is active and operating				
Alt Doc – Income Requirements					
Self-Employment	• S/E Borrower must have a minimum of 2 full years in the current business. • Evidence within 30 days of the Note date that the business is active and operating				
Personal Bank Statements	• 24 months of Personal and 2-months of business bank statements. • Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements. • The business bank statements must reflect business activity and transfers to the personal account.				
Business/Co-Mingled Bank Statements	• 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ◦ Fixed Expense Ratio (50%); OR ◦ Expense Ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR ◦ 3rd party prepared Profit & Loss Statement (CPA or EA).				

Asset Utilization	- Allowed as sole source of income. - Eligible assets divided by 84 to determine a monthly income stream (sourced/seasoned for 3-months). - Purchase, Rate/Term and Cash-Out: follow LTV limits in matrix. - Maximum loan amount \$5,000,000
Underwriting Requirements	
Credit Score	- Middle of 3 scores or lower of 2 for Primary Income Earner. - All borrowers must meet the 720 minimum score.
Tradelines	- Primary wage earner has 3 scores; OR - Min 2 open & reporting 24-months; OR 3 open and reporting 12-months; OR 24-months mortgage rating reporting on credit
Reserves	> \$3.5M to \$4.0M: 12 months min PITIA reserves > \$4.0M to \$5.0M: 18 months min PITIA reserves - Cash-Out proceeds may not be used to meet reserves.
Gift Funds	Permitted after 20% contribution towards down payment, closing costs, prepaid and reserves are met from Borrower's own funds.
Assets	30-day asset verification required
Age of Documentation	- Credit - 120 days - Income and Assets - 90 days
Prepayment Penalty	Not permitted
Escrow Waivers	Not permitted

2ND LIEN

PRIMARY							
Min Credit Score	Max Loan Amount	CLTV	Loan Purpose	Max Exposure w/CLTV > 80%	Max Exposure w/CLTV 70.01-80%	Max Exposure w/CLTV <= 70%	Property Type ¹
740	500,000	85%	Purchase & Rate/Term Refinance	2,000,000	3,500,000	4,000,000	SFR
720		80%					
740		85%			3,000,000	3,500,000	SFR/Condo
700		80%					
680		80%					
740	500,000	85%	Cash Out	2,000,000	3,500,000	4,000,000	SFR
720		80%					
700		80%			3,000,000	3,500,000	SFR/Condo
680		75%					
SECOND HOME							
Min Credit Score	Max Loan Amount	CLTV	Loan Purpose	Max Exposure w/CLTV > 80%	Max Exposure w/CLTV 70.01-80%	Max Exposure w/CLTV <= 70%	Property Type
740	500,000	80%	Purchase & Rate/Term Refinance	2,000,000	3,500,000	4,000,000	SFR
720		75%					
740		80%			3,000,000	3,500,000	SFR/Condo (Warrantable / Non-Warrantable)
700		75%					
680		75%					
740	500,000	80%	Cash Out	2,000,000	3,500,000	4,000,000	SFR
720		75%					
700		75%			3,000,000	3,500,000	SFR/Condo (Warrantable / Non-Warrantable)
680		70%					
Housing History		Housing and Credit Event Seasoning					
0x30x24 on all mortgages		• 4 years must have elapsed from either a housing event or prior bankruptcy.					
Geographic Restrictions							
• Not permitted in MS, NJ, NY, TN, or TX • FL: Non-Permanent Resident Aliens from China are ineligible. • HI: Non-licensed state. • IL: 2nd liens in IL are only ineligible for TRID loans located in Cook, Kane, Peoria and Will Counties. Does not apply to Correspondents. • MD: ○ Effective 1/20/2025: All loan submissions and rate-locks in the State of Maryland are temporarily ineligible. ○ Baltimore City Row Homes are ineligible.							
General Requirements							
Product Type	• Fixed Closed End Second • Manual Underwriting only – Not eligible for Express (DU) .						
Available Terms	• Fixed Rate Fully Amortizing: 15-Year, 20-Year, 25-Year, and 30-Year						
Loan Amounts	Min: \$125,000 – Max \$500,000						
Occupancy	• Primary and Second Home						
Borrowers	• Non-Occupant Co-Borrowers are not permitted on the 1st or 2nd lien.						
Loan Purpose	• Purchase, Rate/Term Refinance and Cash Out						
Cash-Out	• Cash-out with less than six (6) months seasoning is permitted, provided the LTV is based off the lesser of the purchase price or the appraised value. • For a refinance transaction paying off an existing subordinate lien, if that subordinate lien was a cash out transaction, a minimum of six (6) months seasoning must elapse prior to the new refinance.						
Borrower Eligibility	• U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Aliens with a valid SSN • Borrowers must meet all guideline requirements including the minimum tradeline requirements.					• Non-Occupant Co-Borrowers are not permitted on the 1st or 2nd lien.	
Appraisals	• Full interior/exterior appraisal required.						

Property Type ¹	• Single Family, Attached, Detached • PUD • Townhouse • Warrantable Condos • Non-Warrantable Condominium: reduce 5% from Matrix LTV • Condotels not permitted. • Rural Properties not permitted.
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when >65% LTV.
Full Doc - Income Requirements	
Wage/Salary	• Paystubs, W-2 or e-VOE, 2 Years Tax Returns, IRS Form 4506, plus • Verbal VOE is required within 10 days of Note Date for wage earners.
Self-Employment	• 2 Years Personal and Business Tax Returns, YTD P&L, IRS Form 4506, 2 months of most recent bank statements • Verbal VOE is required within 30 days for self-employed borrowers
Alt Doc - Income Requirements	
Personal Bank Statements:	• 24 months of Personal and 2-months of business bank statements. • Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements. • The business bank statements must reflect business activity and transfers to the personal account. • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history.
Business/Co-Mingled Bank Statements:	• 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ◦ Fixed Expense Ratio (50%); OR ◦ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR ◦ 3rd party prepared Profit & Loss Statement (CPA or EA) • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history.
24 months CPA/EA Prepared Profit & Loss Statement	• 24 months P&L, prepared by CPA, EA or Tax Preparer • Minimum of 2-months business bank statements • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history
IRS Form 1099	• 2 Years 1099 • Fixed Expense Ratio of 10% • YTD Documentation to support continued receipt of income from same source.
Asset Utilization	• Not permitted
Underwriting Requirements	
Mortgage History	• 0x30x24
Housing Event and BK Seasoning	• 4 years
DTI Requirements	• Max 50% Primary • Max 43% Second Home
Credit Score	• Middle of 3 scores or lower of 2 for Primary Income Earner. • Additional borrowers must have a minimum score of 540.
Tradelines	• If the Primary wage earner has 3 credit scores, there are no further tradeline requirements. • Otherwise, trades must meet one of the following: • 3 reporting for 12+ months + activity within most recent 12 months (may be closed) • 2 reporting for 24+ with activity within most recent 12 months (may be closed) • 24-months mortgage history reporting on credit report with a score
I/O First Mortgage Qualifying Requirements	• Interest Only (I/O) First Mortgage must be qualified at the fully amortizing P&I payment
Reserves	• 6 months' reserves required. • Cash out may be used to satisfy requirement
Gift Funds	• Gift funds permitted provided borrower meets minimum contribution: • 5% primary • 10% second home • Gift funds not permitted to be used towards reserves
Assets	• 30-days asset verification required • Deposits > 50% of gross income or average deposits on a bank statement loan must be documented on purchases

Residual OO and 2nd Homes only	• Defined as Gross Monthly Income – Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI > 43%: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 • Add \$150 per additional household member
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days
Prepayment Penalty	• Not permitted

DSCR SUPREME

Min Credit Score	Max Loan Amount	Max LTV Purchase & Rate/ Term	Max LTV Cash-Out Refinance	Property Type¹
740	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
720	1,500,000	80	75	
	2,000,000	75	70	
Housing & Credit Event Seasoning Requirements				
Credit Event Minimum Requirements BK/FC/SS/DIL/Mod	Borrowers with significant derogatory credit events must meet the following criteria: • All borrowers must have reestablished acceptable credit verified after the credit event. • Borrowers with unrelated multiple significant credit events are ineligible. • Minimum 4 years must have elapsed from the date of the credit event.			
Geographic Restrictions				
• HI: Delegated Correspondent Channel only • MD: Baltimore City Row Homes are ineligible. • NY: STRs in the 5 NYC Boroughs are ineligible • TX: Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible.				
General Requirements				
DSCR Ratio	• Min 1.00 • Min 1.15 Short Term Rentals • Min 1.25 First Time Investors			
Product Type	• 30 Year Fixed Fully Amortizing • 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 5/6 & 7/6 SOFR ARMs - Fully Amortizing only, qualify at higher of fully indexed			
Loan Amounts	• Min \$150,000 - Max \$2,000,000			
Occupancy	• Investment Properties Business Purpose ONLY			
Loan Purpose	• Purchase, Rate/Term, and Cash Out			
2-1 Temporary Buydown – Purchase Only Option	• Not permitted.			
Cash Out	• Minimum of 6 (six) months seasoning from most recent transaction • Exceeds the Rate/Term thresholds for max cash back: the lesser of \$5,000 or 2% of the loan amount. • > 50% LTV: Max \$1.0M • <= 50% LTV: Unlimited • Not permitted in Declining Markets			
Investor Experience	• Not required.			
Business Purpose Other	• No max financed properties • Entity vesting with fee simple ownership eligible.			
Borrower Eligibility	• US Citizens • Permanent Resident Aliens	Ineligible: • ITINs • Foreign Nationals • Non-Permanent Resident Alien • First Time Homebuyers (FTHB)		
Appraisals	• FNMA Form 1004, 1025, 1073 with interior/exterior inspection. • Appraisal Review Product to be ordered on all loans with an SSR over 2.5 except for those with a full second appraisal.			
Property Type¹	Single Family (Attached, Detached), PUD	• Follow Matrix LTVs • SFR with 1 or more ADU or 2-4 units with 1 ADU allowed provided the subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations.		
	2-4 Units	• Reduce Matrix LTV by 5% • 2-4 units with 1 ADU allowed provided the subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations.		
	Warrantable Condos¹	• Max 75% LTV		
	Acres	• Max 2 acres		
	Leasehold	• Nor permitted		
	Rural Properties	• Not permitted		
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV. • Cash Out not permitted in Declining Markets.			

Rental Income Requirements

General Requirements:

- All refinance transactions require the property to be leased. Vacant property is not eligible except for properties leased through short term rental agencies; or with evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such.
- Property cannot be occupied by the borrower(s), any member of the borrower’s LLC or any family member.

Short Term Rentals:

- Defined as properties leased on a nightly, weekly, monthly, or seasonal basis.
- ALL STRs require evidence from third party vendor validating that the governing municipality where the subject STR is located allows properties to be rented as STRs; with the exception of the five (5) New York City Boroughs which are ineligible for purchase by NQM Funding.
- Min DSCR >= 1.15
- Max LTV: Lesser of 75% or the LTV/CLTV available per the matrix.
- Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs.

Short Term Gross Rental Income:

- One of the following options depending upon the transaction:
 - 1007/1025 or
 - Alternative Short Term Rent Analysis form developed by an AMC or
 - 12-month look back on rents received using bank statements or 3rd party rental statements

When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property’s rents.

Long Term Gross Rental Income:

- If using the lesser of market rents or the lease, nothing further is required.
- If using a higher lease amount, evidence of 2-months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120%.
- If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%.

DSCR Ratio Calculation:

- DSCR Ratio = Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans)

Underwriting Requirements

Housing / Rental History	• 0x30x12
Credit Score	• For each borrower, the qualifying score is as follows: ◦ A minimum of 2 scores required. ◦ Borrowers with three credit scores: use the lowest middle score of all borrowers to qualify. ◦ Borrowers with 2 credit scores: use the lower of the two scores to qualify.
Tradelines	• Tradeline requirements may not be waived when the primary borrower has 3 credit scores. • Each borrower must have a minimum of 3 traditional tradelines rated at least 12 months, OR 2 tradelines for 24+ months, OR 24-month mortgage history reporting on credit. • Tradelines must reflect an acceptable payment history – no exceptions. • Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable provided tradeline closed in the last 12 months.
Reserves	Reserves PITIA or ITIA, as applicable: ◦ <= \$500,000 = 3 months ◦ > \$500,000 to \$2,000,000 = 6 months • Cash-out proceeds can be used to satisfy reserves. • Borrowers owning multiple financed properties require an additional 2 months reserves per property (excluding their primary residence).
Gift Funds	• Allowed after a minimum 10% borrower contribution. • Gift funds may not be used to meet reserve requirements.
Assets	• 30-day asset verification required
Age of Documentation	• Credit - 120 days. • Assets - 90 days
Prepayment Penalty	• Required where permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Interested Party Contributions	• 6% maximum

INVESTOR DSCR

INVESTMENT PROPERTY (BUSINESS PURPOSE)						
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase	Max LTV/CLTV R/T Refinance	Max LTV/CLTV Cash-Out Refinance	Property Type	
>=1.00 DSCR*						
740	<= 100,000	70	70	65	Single Family, PUD, 2-4 Units, Warrantable & Non-Warrantable Condominiums and Condotels	
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	80	80	75		
	1,000,000	85	80	75		
	1,500,000	85	75	70		
	2,000,000	75	75	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
720	<= 100,000	70	70	65		
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	80	80	75		
	1,000,000	85	80	75		
	1,500,000	85	75	70		
	2,000,000	75	75	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
700	<= 100,000	70	70	65		
	>100,000 – 125,000	75	75	70		
	>125,000 - 150,000	75	75	70		
	1,500,000	75	75	70		
	2,000,000	70	70	60		
	2,500,000	70	70	60		
	3,000,000	70	70	60		
680	<= 100,000	70	70	65		
	100,000 – 125,000	75	75	70		
	>125,000 - 150,000	75	75	70		
	1,500,000	75	75	70		
	2,000,000	70	70	60		
	2,500,000	70	70	60		
660	<= 100,000	70	70	65		
	100,000 – 125,000	70	70	65		
	>125,000 - 150,000	70	70	65		
	1,000,000	70	70	65		
	1,500,000	65	65	60		
	2,000,000	60	60	55		
640	<= 100,000	65	65	60		
	100,000 – 125,000	65	65	60		
	>125,000 - 150,000	65	65	60		
	1,000,000	65	65	60		
	1,500,000	60	60	55		
	2,000,000	55	55	50		
< 1.00 DSCR* Note Minimum DSCR is .75						
740	1,000,000	75	75	70		Single Family, PUD, 2-4 Units, Warrantable & Non-Warrantable Condominiums and Condotels
	1,500,000	75	75	70		
	2,000,000	75	75	60		
720	1,000,000	75	75	70		
	1,500,000	70	70	65		
	2,000,000	65	65	NA		
700	1,000,000	75	75	70		
	1,500,000	70	70	65		
	2,000,000	65	65	NA		
680	1,000,000	65	65	60		
No Ratio						
740	1,000,000	75	75	65	Single Family, 2-4 Units, Warrantable & Non-Warrantable Condominiums and	
	1,500,000	70	70	60		
720	1,000,000	70	70	60		
	1,500,000	65	65	60		
700	1,000,000	65	65	60		
	1,500,000	65	65	60		
Housing History		Housing Event Seasoning				
• 0x30x12 – No reduction • 1x30x12: ◦ 5% LTV reduction • Past due balloon will be considered a delinquency (1x30) not a housing event, only if within 180 days of maturity. • 1x30 not permitted on No Ratio		BK/FC/SS/DIL/Mod: • >=36 Months: No reduction • >=24 Months: ◦ Max 75% LTV Purchase ◦ Max 70% LTV Rate/Term & Cash-out • Discharged Ch 13, use filing date; min 1yr discharged. • Dismissed Ch 13, use dismissal date.				

		No Ratio: • Requires 3+ years from a housing event. • Multiple BKs not permitted. • Chapter 13s must be discharged or dismissed 24+ months.	
Geographic Restrictions			
• HI: Delegated Correspondent Channel Only • MD: Baltimore City Row Homes are ineligible. • NY: ○ STRs in the 5 NYC Boroughs are ineligible (Manhattan, Brooklyn, The Bronx, Queens and Staten Island). ○ Subprime loans on Fixed rate Products only (See Guidelines for additional details)			
General Requirements – Investor DSCR			
DSCR Ratio	• Varies based on the grid above and requirements herein.		
Product Type	• 30 Year and 15 Year Fixed - Fully Amortizing • 40-Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) - Max 75% LTV • 30-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) - Max 80% LTV		
Interest Only	• Min Credit Score: 640 when DSCR >= 1.00 • Min Credit Score: 700 when DSCR < 1.00 • Interest Only not allowed on No Ratio Loans • Borrower to qualify using the IO payment based on the qualifying rate.		
Loan Amounts	• Min: 75,000 and Max \$3,000,000 • Loan Amounts \$75,000 to < \$125,000: 1.00 DSCR Required		
Occupancy	• Investment Properties (Business Purpose)		
Loan Purpose	• Purchase, Rate/Term, and Cash Out		
2-1 Temporary Buydown Purchase Only Option	• Seller Paid Buydown/Concession • Min Score 680 • Min DSCR >= .75 • Borrower qualifies at actual rate (pre-buydown). • Lender Paid or 3rd Party Paid Buydown (Excluding Real Estate Agents, Brokerages, Borrower, or relatives) permitted for Correspondent Clients only		
Cash-Out	• LTV > 60% = \$1,000,000 or when DSCR is >=.75 unlimited cash out permitted with 18 months reserves exclusive of cash back • LTV <=60% = Unlimited • NOTE: that cash-in-hand limits do not apply to Delayed Financing Transactions • Cash out refinances on properties acquired in the past 12 months require DSCR of .75 • Condos in FL max LTV 75%		
Property Type	Eligible	• Single Family, Attached, 2-4 Units, Warrantable Condo, and Non-Warrantable Condo. • C4 condition rating or better. • Condotels • Rural Properties – see below.	
	1-4 Unit Restrictions	• 1-4 Units : ○ Purchase ONLY to 85% • 2 Units - Refinance: ○ Max LTV/CLTV: 80% • 3-4 Units - Refinance: ○ >= 1.00 DSCR = Max LTV 75% ○ < 1.00 DSCR = Max LTV 70%	
	Condos (Warrantable and Non-Warrantable) Restrictions	<u>Condos:</u> • Ineligible for > 80% LTV • 720+ Purchase/R&T: Max 80% • <720 Purchase/R&T: Max 75%	• 720+ Cash Out: Max 75% • < 720 Cash Out: Max 70%
	Condotels Restrictions	<u>Purchase or Rate/Term:</u> • 700 Score / Max LTV 70% • 680 Score / Max LTV 65%	<u>Cash Out:</u> • 700 Score / Max LTV 65% • 680 Score / Max LTV 60%
		• Min DSCR >= .75 • Max Loan Amount: \$1,500,000	
Appraisals	• FNMA Form 1004, 1025, 1073 with interior/exterior inspection • 2nd Appraisal required for all loan amounts > \$2.0M with a DSCR >= .75. • No Ratio loans with loan amounts > \$1,500,000 require 2 appraisals. • Appraisal Review Product to be ordered on all loans with an SSR over 2.5 with the exception of those with a full second appraisal.		
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when > 65% LTV.		
Rural Property (Vacation Areas Only)	• Property up to 2-acres, <u>not meeting the rural definition</u>, eligible with the following restrictions: ○ Rural properties located in a resort area will be considered as follows: ▪ Maximum LTV of 65% and ▪ Min DSCR >= 1.00. ▪ Examples of acceptable resort areas include beach towns, ski resort areas, golf communities or communities with other major recreational activities. ▪ If property is accessible by a gravel road and distance of comparables is > 1 mile away, the property could be considered rural even if it is marked suburban, and then Max LTV is the lesser of 65% LTV or the applicable Matrix LTV. ▪ Properties must be accessible by roads that meet state/local minimum standards. ▪ Properties must be suitable for year-round occupancy regardless of location.		

Income Requirements – Investor DSCR	
Income	<u>General Requirements:</u> - All refinance transactions require the property to be leased. Vacant property is not eligible except for properties leased through short term rental agencies; or with evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such. - Property cannot be occupied by the borrower(s), any member of the borrower’s LLC or any family member. <u>Short Term Rentals:</u> - Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. - ALL STRs require evidence from third party vendor validating that the governing municipality where the subject STR is located allows properties to be rented as STRs; with the exception of the five (5) New York City Boroughs which are ineligible for purchase by NQM Funding. - Min DSCR ≥ 1.15 - Max LTV: Lesser of 75% or the LTV/CLTV available per the matrix. - Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs. <u>Short Term Gross Rental Income:</u> - One of the following options depending upon the transaction: 1007/1025 or - Alternative Short Term Rent Analysis form developed by an AMC or 12-month look back on rents received using bank statements or 3rd party rental statements When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property’s rents. <u>Long Term Gross Rental Income:</u> - If using the lesser of market rents or the lease, nothing further is required. - If using a higher lease amount, evidence of 2-months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120%. - If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%. <u>DSCR Ratio Calculation:</u> - DSCR Ratio = Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans)
Underwriting Requirements – Investor DSCR	
General	- Loan amounts $\geq \\$75K$ - $< \\$125K$ require a min DSCR of 1.00 - Cash out refinances on properties acquired in the past 12 months require a min DSCR of .75 - Minimum DSCR .75 unless qualifying using the No Ratio guides. - Condotels min DSCR $\geq .75$ - Short Term Rentals min DSCR ≥ 1.15
Investor Experience	Not required
Credit Score	Lowest Middle score of all borrowers.
Tradelines when DSCR is .75 or greater	- All borrowers have 3 scores: OR - Min: 2 open and reporting 24 months; OR 3 open and reporting 12 months; OR 24-months mortgage rating reporting on credit.
Tradelines – No Ratio	- Each borrower must have a minimum of two trades within 24 months that show a 12-month history OR a combined credit profile between both borrowers with a minimum of three tradelines. - Tradeline activity is not required. - Eligible trades cannot have delinquency in the past 24 months. - Current housing, not reporting on credit may count as a trade if cancelled checks/debits are provided.
Reserves ($\geq .75$)	- Loan Amount to \$500K and $\leq 80\%$ LTV = 3 months of PITIA - Loan Amount to \$500K and $> 80\%$ LTV = 6 months of PITIA - Loan Amount $> \\$500K$ to $\\$2.0M$ = 6 months of PITIA - Loan Amount $> \\$2.0M$ = 12 months of PITIA 2-4 Units at 80% LTV requires greater of 6 months or reserves indicated above. - Cash out may be used to satisfy requirement
Reserves – No Ratio	- Loan Amount $\geq \\$75K$ to $\\$500K$ – 3 months of PITIA - Loan Amount $> \\$500K$ to $\\$2.0M$ = 6 months of PITIA - Cash out may be used to satisfy requirement
Gift Funds	- Allowed after min 10% borrower contribution. - Cannot be used to meet reserve requirements
Assets	30-day asset verification required

Age of Documentation	• Credit - 120 days • Assets - 90 days
Prepayment Penalty	• Required on Investment Properties where permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Interested Party Contributions	• ALL = 6%

DSCR MULTI & MIXED (5-10 Units MULTI or 2-8 Units MIXED)

Investment Property (Business Purpose)					
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase	Max LTV/CLTV R/T Refinance	Max LTV/CLTV Cash-Out Refinance	Property Type¹
>=1.00 DSCR					
720+	1,500,000	75	75	70	Residential 5-10 Units and Mixed Use 2-8 Units
	2,000,000	75	70	65	
	2,500,000	70	70	65	
	3,000,000	70	70	65	
700+	1,500,000	75	75	65	
	2,000,000	70	70	65	
	2,500,000	65	65	60	
	3,000,000	65	65	60	
680 - 699	1,500,000	70	65	65	
	2,000,000	65	60	60	
	2,500,000	65	60	60	
	3,000,000	65	60	60	
660-679	1,500,000	65	65	60	
	2,000,000	60	60	55	
Housing History		Housing Event Seasoning			
0x30x24		● BK/FC/SS/DIL/Mod: 24 Months			
Geographic Restrictions					
● HI: Delegated Correspondent Channel Only ● MD: Baltimore City Row Homes are ineligible. ● NY: STRs in the 5 NYC Boroughs are ineligible ● NY: Properties in Orange County, New York are ineligible.					
General Requirements					
Product Type	● 30-Yr Fixed, 15-Yr Fixed ● 40 Yr Fixed I/O 30 Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) ● 30 Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) ● 5/6 and 7/6 SOFR ARMs, 30 Yr Term – Fully Amortizing ● Borrower to qualify using the I/O payment based on the qualifying rate (Greater of the fully indexed rate or note rate).				
Interest Only	● Min Credit Score: 660 ● Max LTV: 75%				
Loan Amount	● Min: \$250,000 and Max \$3,000,000 ● Loan sizes under \$400,000 require a 5% reduction to LTV				
Occupancy	● Investment Properties (Business Purpose)				
Loan Purpose	● Purchase, Rate/Term, and Cash Out				
2-1 Temporary Buydown Purchase Only Option	● Not permitted.				
Cash-Out	Max cash-out: \$1,000,000				
Investor Experience	● No First Time Investors for 2-8 units Mixed Use. Borrower must have a history of owning and managing commercial or residential real estate for at least 1 year in the last 3 years ● First Time Investors are permitted on 5-10 Unit Residential properties with a 0x30x24 housing history or when the primary is owned F&C.				
Borrower Eligibility	● U.S. Citizens ● Permanent Resident Aliens ● Non-Permanent Resident Aliens (See Geographic Restrictions above) ● Foreign Nationals (See below) ● First Time Homebuyer (FTHB) ineligible				
Foreign National	● Min DSCR >= 1.00 ● Min Score: 700 if using US Credit ● Foreign Credit is permitted. ● Reserves: 12 months PITIA LTV requirements: ● <= \$2.0M = Purch & R/T: 70% LTV or Cash-Out: 65% LTV ● > \$2.0M - \$2.5M = Purch & R/T: 65% LTV or Cash-Out: 60% LTV ● > \$2.5M - \$3.0M = Purch & R/T: 60% LTV or Cash-Out: 55% LTV				
Property Type¹	● Residential 5-10 Units ● Mixed Use 2-8 units. For properties with less than 5 units, at least 1 unit must be commercial. ○ 2-3 Units: Max 1 commercial unit ○ 4-5 Units: Max 2 commercial units ○ 6-8 Units: Max 3 commercial units ○ Commercial space must not exceed 49% of the total building area ● Rural Properties: Up to 2 acres, not meeting the rural definition, permitted				
Rural Properties	● Rural properties are ineligible.				
Property Requirements	● Minimum 400 square feet per unit ● Must be accessible for year-round residential use. ● Contain a full kitchen and bath. ● Represent the highest and best use of the property. ● Not contain any health or safety issues				

Property Condition	- No fair or poor ratings - No environmental issues (Storage or use of hazardous material, ex. Dry Cleaners, Laundromat) - No health or safety issues as noted by the appraiser (ex. Broken windows, stairs, etc.) - No excessive deferred maintenance that could become a health or safety issue for tenants. - No structural deferred maintenance (ex. Foundation, roof, electrical, plumbing)
Unleased Units	Refer to Underwriting Guidelines.
Appraisals	<u>Residential 5-10 units:</u> - FHLMC 71A - FHLMC 71B for loan amounts < \$750K (Correspondent only) - Narrative report may be used but is not required. <u>Mixed Use 2-8 Units:</u> - FHLMC 71A - FHLMC 71B for loan amounts < \$750 (Correspondent only) - General Purpose Commercial Forms (ex. GP Commercial Summary Form) or Narrative report For loan amounts > \$2M, a second appraisal is not required if the 71A or Commercial Narrative report is provided. The following are required with each report: - Full Interior Inspection of each unit - Rent roll. - Income and Expense Statement - Photos of subject including exterior/interior and street scene - Aerial photo - Sketch or floor plan of typical units. - Map - Appraiser qualifications - BPO to be ordered on all transactions with the exception of those including two full appraisals.
Declining Markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when >65% LTV.
Subordinate Financing ²	- New subordinate financing is not permitted on purchase transactions. - Existing subordinate liens are permitted on refinance transactions if the 2nd lien is institutional only.
Income Requirements	
Income	- Use lower of Estimated market rent or lease agreement on a refinance. - Purchases use the estimated market rent. - For leases that have converted to month-to-month, provide 2 months bank statements to support rental income. - Vacant unit(s) – See Guidelines. - Reduce qualifying rents by any management fee reflected on the appraisal report. 2-8 Mixed Use: Income from commercial space must not exceed 49% of the total property income. - Minimum DSCR >=1.00
Underwriting Requirements	
Credit Score	Middle of 3 scores or lower of 2 of all Borrowers
Tradelines	- All borrowers have 3 scores: or - Min: 2 open and reporting 24-months; or 3 open and reporting 12-months.
Reserves	- Loan Amt <= \$1.5M: 6 Months PITIA - Loan Amt > \$1.5M - \$2.0M: 9 months PITIA - Loan Amt > \$2.0M - \$2.5M: 12 Months PITIA - Loan Amt > \$2.5M - \$3.0M: 12 Months PITIA - Cash out may be used to meet reserve requirements
Gift Funds	- Allowed after min 10% borrower contribution. - Cannot be used to meet reserve requirements
Assets	30-day asset verification required
Escrow Waiver	Not Permitted
Age of Documentation	- Credit - 120 days - Assets - 90 days
Prepayment Penalty	Required where permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Interested Party Contributions	ALL = 6%

FOREIGN NATIONAL

2 nd HOME (1-UNIT ONLY) - 2 YEAR FULL DOC / ASSET UTILIZATION INVESTMENT PROPERTIES (1-4 UNITS - REDUCE LTV BY 5%)						
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase	Max LTV/CLTV R/T Refi	Max LTV/CLTV Cash-Out Refi	Property Type	
700+	1,500,000	75	70	65	Single Family, 2-4 Units, Warrantable and Non-Warrantable Condo, and Condotel	
	2,500,000	70	70	65		
	3,000,000	65	65	60		
Foreign Credit	1,000,000	70	70	65		
	1,500,000	70	70	65		
	2,500,000	65	65	60		
	3,000,000	60	60	55		
Housing History	Housing Event Seasoning		First Time Investor	Unleased Properties		
0x30x12	BK/FC/SS/DIL/Mod: > 48 Mo		Allowed	Not Allowed on Refinances		
DSCR – INVESTMENT (BUSINESS PURPOSE ONLY)						
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase	Max LTV/CLTV R/T Refi	Max LTV/CLTV Cash-Out Refi	Property Type	
DSCR >=1.00						
700+	2,000,000	70	70	65	Single Family, 2-4 Units, Warrantable and Non-Warrantable Condo, and Condotel	
	2,500,000	65	65	60		
	3,000,000	60	60	55		
Foreign Credit	2,000,000	70	70	65		
	2,500,000	65	65	60		
	3,000,000	55	55	50		
Housing History	Housing Event Seasoning		First Time Investor	Unleased Properties		
0x30x12	BK/FC/SS/DIL/Mod: >= 36 Mo		Allowed	Not Allowed on Refinances		
Geographic Restrictions						
• IL counties: Cook, Kane, Peoria and Will: Not permitted for OO and SH – Does not apply to Correspondents. • HI: Delegated Correspondent Channel Only • MD: ○ As of 1/28/2025: Business Purpose loans are no longer restricted. Second Homes remain temporarily ineligible since 1/20/25. ○ Baltimore City Row Homes are ineligible. • NY: STRs in the 5 NYC Boroughs are ineligible.						
General Requirements						
DSCR Ratio	• Min 1.00 • Min 1.15 Short Term Rentals					
DTI Requirements	• Max 50% for Full Doc or Asset Utilization (does not apply to DSCR)					
Product Type	• 30-Yr Fixed, 15-Yr Fixed • 30-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing). • Interest Only Products listed above: 10 year I/O period; must qualify off fully amortizing payment					
Interest Only	• Eligible on 30-Yr Fixed I/O					
Loan Amounts	• Min: 150,000 and Max \$3,000,000 (no exceptions)					
Occupancy	• Full Doc – 2nd Home (1-Unit only) and Investment Properties 1-4 Units (Business Purpose) • DSCR – Investment Properties 1-4 Units (Business Purpose)					
Loan Purpose	• Purchase, Rate/Term, and Cash Out					
2-1 Temporary Buydown – Purchase Only Option	• Not permitted.					
Cash-Out	• > 55% LTV = \$1,000,000 • <= 55% LTV = Unlimited					
Property Type	• All Properties	• C4 condition rating or better.				
	Single Family, PUD (1-Unit)	• Follow Matrix LTVs.				
	Condos and 2-4 Units	• Condos: Warrantable and Non-Warrantable • <u>Condos and 2-4 Units Max LTV/CLTV:</u> ○ Purchase and Rate/Term = 70% ○ Cash-out = 65%				
	Condotel	• Second Home Condotels in the State of Maryland remain temporarily ineligible since 1/20/2025.				
		<u>Full Doc 2nd Home & NOO Purchase or Rate/Term</u>			<u>DSCR Purchase or Rate/Term</u>	
		• Max 70% LTV <u>Full Doc 2nd Home & NOO Cash Out</u>			<u>DSCR Cash Out</u>	
		• Max 60% LTV			• Max 60% LTV	
• Max Loan Amount \$1,500,000 • Must have full kitchen & 1 separate bedroom. • Must be in a resort area or affiliated with a national hotel chain.						

	Rural Property (Vacation Areas Only) • Not allowed as defined in the Guidelines. • Property up to 2-acres, not meeting the rural definition, eligible with the following restrictions: • If property is accessible by a gravel road and comparables distance are > 1 mile away, the property could be considered rural even if it is marked suburban, and then: ◦ Max LTV is the lesser of 65% LTV or the applicable Matrix LTV. • Examples of acceptable vacation/resort areas include beach towns, ski resort areas, golf communities or communities with other major recreational activities.
Appraisals	• FNMA Form 1004, 1025, 1073 with interior/exterior inspection, 2nd Appraisal required for loan amounts > \$2M.
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV.
ACH Form	• Automatic Payment Authorization (ACH) Form is required for set-up along with a copy of a cancelled check.
Full Doc - Income Requirements	
Salary / Wage Earner	• Paystubs covering a minimum of 30-days (which include YTD income) and ONE of the following: ◦ W-2 equivalent; OR ◦ Two (2) years tax returns from borrower country of origin; OR ◦ A letter from employer on company letter head providing current monthly salary, YTD earnings and total earnings for the past 2-years. Letter from employer must be on company letterhead, including address and company web address, Employer to be independently verified (LexisNexis, D&B, Google, other). All docs must be translated by an independent certified translator.
Self-Employment	• Must be self-employed for a minimum of 2 years evidenced by a letter from the borrower’s CPA or local equivalent (the “Accountant”) on Accountant letterhead. The letter must include income figures for each of the last 2 years and YTD income. A business license (where required) and organization documents should be provided; and • A copy of the Accountant’s current license is required. The Business & Accountant must be independently verified; and • All documents must be translated by an independent certified translator.
Alt Doc - Income Requirements	
Asset Utilization	• Eligible assets must be sourced and seasoned for a minimum of three (3) months. • Qualified assets and reserves may be deposited in a financial institution outside the U.S. subject to State/LTV restrictions. • Eligible assets must be divided by 60 to determine a monthly income stream.
DSCR - Income Requirements	
DSCR	<u>General Requirements:</u> • All refinance transactions require the property to be leased. Vacant property is not eligible except for properties leased through short term rental agencies; or with evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such. • Property cannot be occupied by the borrower(s), any member of the borrower’s LLC or any family member. <u>Short Term Rentals:</u> • Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. • ALL STRs require evidence from third party vendor validating that the governing municipality where the subject STR is located allows properties to be rented as STRs; with the exception of the five (5) New York City Boroughs which are ineligible for purchase by NQM Funding. • Min DSCR >= 1.15 • Max LTV: Lesser of 75% or the LTV/CLTV available per the matrix. • Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs. <u>Short Term Gross Rental Income:</u> • One of the following options depending upon the transaction: ◦ 1007/1025 or ◦ Alternative Short Term Rent Analysis form developed by an AMC or ◦ 12-month look back on rents received using bank statements or 3rd party rental statements When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property’s rents. <u>Long Term Gross Rental Income:</u> • If using the lesser of market rents or the lease, nothing further is required. • If using a higher lease amount, evidence of 2-months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120%. • If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%.

	DSCR Ratio Calculation: DSCR Ratio = Short or Long Term Gross Rental Income /PITIA Fully Amortizing or ITIA (for IO Loans)
Underwriting Requirements	
Documentation Requirements	- Copy of the Borrower’s unexpired passport. - Refer to Guidelines for additional requirements not limited to being cleared through OFAC's SND list.
Credit Score	Middle of 3 scores or lower of 2, if available
Tradelines	Minimum: 2 open and reporting 24-months or 3 open and reporting 12-months even if 3 credit scores are available. See Guide for requirements
Non-Occupant Co-Borrower	Permitted on Foreign National loans when the non-occupant is a US Citizen who will be taking title.
Reserves	12-months of PITIA 6-months with 5% LTV reduction. - Cash out may be used to satisfy requirement. - Reserves not required when using Asset Utilization as sole source of income.
Gift Funds	- Permitted as long as borrower has 10% own funds for downpayment, closing costs, plus reserves. - Max loan amount of \$1.0M when there is a gift
Assets	30-days asset verification required for US Based Accounts; 60-days for Foreign Assets - Deposits > 50% of gross income must be documented on purchases
FN – Residual Income 2 nd Homes only	- Defined as Gross Monthly Income – Total Monthly Obligations. - Requirement based on # in household. - FN: applies to HPML loans or when the DTI > 43% on 2nd homes only: 1 person = \$1,500 2 persons = \$2,500 - Add \$150 per additional household member.
Age of Documentation	- Credit - 120 days - Income and Assets - 90 days
Prepayment Penalty	Required where permitted for Investment Properties. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Interested Party Contributions	Second Homes <= 75% LTV = 9% Investment - ALL = 6%
Escrow Impounds	Escrow of taxes and insurance are required with ACH payments for all Foreign National Loans.